

loan is flipped into a new one.” Thus, a customer is paying a fee of \$468 in order to pay back the original loan of \$325.⁹

Set Aside Tax Money

If there is one source of credit you should diligently avoid, it is the IRS—or to put it another way, don’t live on money that you owe to the IRS. I have counseled many couples who attempted to do this, especially couples who were self-employed. They found that the IRS will attach every asset to collect their money and will force a sale at drastically reduced prices if necessary.

IMPROVING YOUR CREDIT

If you have or have had credit problems, you can take action to improve your credit rating. Nothing is a quick fix, but now is the time to begin.

Paying your bills on time is the first step in improving credit. If you have missed payments, work to get current and then stay current. Keep your balances on credit cards low, and pay off debt rather than moving it from card to card. If you open a new account and pay it off in a timely manner, you can raise your credit score.¹⁰

Again, checking your credit report will help you find items that should be cleaned up, such as items that are more than seven years old, accounts that are noted as anything besides “current” if you have paid them off, even charges that do not belong to you.¹¹ Correcting these matters will raise your credit score.

DETERMINING THE TRUE INTEREST RATE

In conclusion to this discussion on credit, it is vital that you understand how to determine the true interest rate someone is quoting to you. The Truth in Lending Act now requires that all interest be stated in Annualized Percentage Rate (APR). That establishes one standard for all interest charged, regardless of how it is calculated. Let me present an example. If you borrowed \$100 for